Paul H Appleby (an American scholar of Public Administration), in his two reports on Indian Administration, was very critical of the role of CAG and attacked the significance of CAG's work[7]. He also suggested that the CAG should be relieved of the responsibility of audit. In other words, he recommended the abolition of the office of CAG. His points of criticism of Indian audit are as follows:

1. The function of the CAG in India, is in a large measure, an inheritance from the colonial rule.
2. The CAG is today a primary cause of widespread and paralysing unwillingness to decide and to act. Auditing has a repressive and negative influence.
3. The Parliament has a greatly exaggerated notion of the importance of auditing to Parliamentary responsibility, and so has failed to define the functions of the CAG as the Constitution contemplated it would do.
4. The CAG's function is not really a very important one. Auditors do not know and cannot be expected to know very much about good administration; their prestige is highest with others who do not know much about administration.
5. Auditors know what is auditing, which is not administration; it is a necessary, but a highly pedestrian function with a narrow perspective and a very limited usefulness.
6. A deputy secretary in the department knows more about the problems in his/her department than the CAG and his/her entire staff.

Challenges

The Second Administrative Reforms Commission of India (2005–2009) has identified the challenges before the external audit conducted by the CAG and explained them in the following way[8]:

There is no doubt that external audit by the CAG has contributed a great deal in improving the financial management in the country keeping in view the large number of Inspection Reports issued, Audit Reports presented to the Parliament and the State Legislatures and the recoveries made at the instance of audit. In its Reports, Audit raises many important issues relating inter-alia to weak budgetary controls, deficiencies in revenue collection, wastage of public resources, inappropriate accounting, poor returns on investments, diversion of funds, system deficiencies and numerous instances of poor management of public resources, etc.

There is, however, a feeling that the impact and effectiveness of external audit could be further enhanced. Some of the factors and perceptions, which are impeding the effectiveness of external audit by CAG are given below:

1. Detailed examination of paras included in the Audit Reports by Public Accounts Committee (PAC) is barely about 15-20 against the total number of 1000 to 1500 paras included in the CAG's reports submitted to the Parliament every year. The Ministries/Departments take only those audit paras seriously which come up for discussions in the PAC.
2. The Ministries/Departments are supposed to submit Action Taken Notes on the paras not discussed. Such Action taken Notes are largely formal rather than substantive.